for nuclear energy cooperation. [12] Even until the day before President Bush's arrival in India in March 2006, the Chinese had hoped that the Indo–US deal would fall through the large gap between the positions of India and the US. On the eve of Bush's visit, the *China Defence News* confidently wrote that the intention of the United States was to penetrate India's nuclear weapons programme in order to control it, and that the Indians would not allow this to happen. [13] Therefore, the nuclear deal would not be successfully concluded.

When, therefore, on 3 March 2006, President Bush and Prime Minister Singh signed a Joint Statement consummating nuclear cooperation, the Chinese were likely taken by surprise. While remaining poker-faced with India, the Chinese began to complain to the Bush administration on the issue. They voiced their concerns that such a deal might help India's nuclear weapons programme, and might even weaken India's pledge of minimum credible deterrence. They also aligned with the US non-proliferation community in supporting its efforts to lobby Congress and the media. Internally, by this time, the Chinese strategic community was veering around to the belief that the US was trying to pull India into a strategic alliance and wanting to monopolize the potentially large Indian market for nuclear energy. Yet, even at this point, the Chinese still hoped that the differences between India and America over the Separation Plan and the issue of re-processing of spent fuel were so deep as to be unbridgeable. [14] The Separation Plan was offered by India to the International Atomic Energy Agency (IAEA), vide which the Government of India undertook the following commitments: identification and separation of civilian and military nuclear facilities and programmes in a phased manner; filing a declaration regarding its civilian facilities with IAEA; taking a decision to place voluntarily its civilian nuclear facilities under